TEACHER GUIDE DRAFT

Leaving Certificate Business (current syllabus)

Marketing mix: price

Unit 5: Business in action
5.2 The marketing mix: price



A revision lesson. Pupils run a car dealership in firms of four and revise marketing mix: price on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Mark-up to margin

Round 1

Mark-up or margin?

Margin, as % of the price? Nearest whole %.

Full cost per car	**€10,000**
Your mark-up	**25%**

ANSWER

20%

€2,500 ÷ €12,500 = 20.0%

Why: The same profit is a bigger share of the cost than of the price.

2 Inelastic demand

Round 1

Demand for your cars is price inelastic.

Which two are most likely?

- **A** A price cut raises revenue
- **B** Sales fall by a smaller %
- **C** Sales fall by a bigger %
- **D** A price rise raises revenue
- **E** Revenue does not change

ANSWER

✓ Sales fall by a smaller %
✓ A price rise raises revenue

Why: Inelastic: sales change by less than the price, so a rise raises revenue.

3 Rank by elasticity

Round 2

Three price rises and what happened to sales.

Order by elasticity, most elastic first?

- **A** Price up 20%, sales down 20%
- **B** Price up 5%, sales down 10%
- **C** Price up 10%, sales down 5%

ANSWER

1. Price up 5%, sales down 10%
2. Price up 20%, sales down 20%
3. Price up 10%, sales down 5%

Why: PED = % change in sales ÷ % change in price: −2, −1, −0.5.

Topic tasks

4 Price to hit margin

Round 2

Price to hit your target.

Price with the 25% margin?

You pay per car	**€12,260**
Prep per car	**€490**
Target margin on the price	**25%**

ANSWER

€17,000

(€12,260 + €490) ÷ 75% = €17,000

Why: A 25% margin is a 33% mark-up on cost.

5 Cut the price?

Round 3

Price elasticity for your cars is −0.4. Sales are falling.

Should you cut the price, and why?

A Yes, cut the price

B No, keep the price

ANSWER

✓ No, keep the price

Why: At −0.4 a 10% cut adds only 4% sales, so revenue falls.

6 Profit change

Round 3

They buy 30 cars a month.

Change in monthly profit? Minus allowed.

Price per car	**€8,000**
You pay per car	**€6,600**
Price cut	**10%**
Price elasticity of demand	**−2**

ANSWER

-€20,400

36 × €600 − 30 × €1,400 = −€20,400

Why: More cars sold did not make up for the lower price.

Final questions

Each pupil answers 6 final questions. Pick the question topic “Pricing”: the 6 come from these 10 questions.

Then each pupil writes one short answer: “Evaluate when a dealer should use price skimming.”

1. A car cost your firm €9,000. You want €2,200 left after the VAT on the margin. Roughly what price do you need?
   ✔ **About €11,706**

2. A rival sells the same model for €11,500. Your car cost €10,200. If you match the rival's price, what is left after VAT?
   ✔ **€1,057**

3. Your price to a customer is €13,000. What does the customer actually hand over?
   ✔ **€13,000: the VAT on your margin is inside the price**

4. You sell a car to another student firm for €9,500; it cost you €8,800. Does the sale carry VAT?
   ✔ **Yes: 23/123 of the €700 margin, like any sale**

5. You add a 20% markup to a car that cost €8,000. What is the price, and what is the margin?
   ✔ **Price €9,600, margin €1,600**

6. A customer offers €10,000 and another firm offers €9,600 for a car that cost €8,500. After VAT, how much more does the customer sale leave?
   ✔ **€326**

7. A fleet customer wants 4 cars that cost you €7,000 each and offers €30,000 for the lot. What is the margin per car, and the VAT on the lot?
   ✔ **€500 a car; VAT €372**

8. Two firms sell the same SUV. Firm A paid €14,000 and asks €16,000; Firm B paid €15,200 and asks €16,000. Which firm keeps more after VAT?
   ✔ **Firm A: a bigger margin leaves more even after a bigger VAT**

9. You cut a price from €12,000 to €11,400 on a car that cost €9,900. How much less do you keep after VAT?
   ✔ **€487**

10. Your firm wants €6,000 left after VAT this round and sells cars at a €2,000 margin each. How many must it sell?
    ✔ **4**